

SUPERIOR COURT OF CALIFORNIA  
COUNTY OF VENTURA

Tentative Ruling

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**2025CUOE056163: JESSICA HAUGE vs SAGE MOUNTAIN SENIOR HOUSING  
PARTNERS LLC, A DELAWARE LIMITED LIABILITY COMPANY, et al.**

**08/28/2026 in Department 44**

**Motion to Compel to Compel Arbitration and Dismiss Class Claims**

**Department Rules.** Parties and counsel shall follow the Department 44 rules and Zoom protocols, available at <https://www2.ventura.courts.ca.gov/Courtroom/C44>.

**Remote Appearances.** The Court allows Zoom appearances as a courtesy to parties and counsel. The Court does not accommodate Court Call appearances. **You MUST register by 3:00 p.m. the court day before your hearing or you will be DENIED entry to the hearing:**

**ZOOM Registration Link:**

<https://ventura-courts-ca.zoom.us/meeting/register/iqN7uhQSQMuoQs-9TQXgEQ>

No advance notice is required to appear in person.

**Tentative Rulings.** Oral argument should address the tentative decision. To submit on the tentative decision, email [courtroom44@ventura.courts.ca.gov](mailto:courtroom44@ventura.courts.ca.gov) before 8:00 a.m. on the hearing date, copying all other parties. Use the subject line “SUBMISSION ON TENTATIVE”, [Case Number], [Case Title] and [Party]. If not all parties submit, the hearing will proceed, and the tentative ruling may change.

The Court may adopt, modify or reject the tentative ruling after hearing. The tentative ruling has no legal effect unless and until adopted by the Court.

**Motions:**

Defendants Agemark Management, LLC and Remarkable Caregivers RCSM LLC’s Motion to Compel Arbitration and Dismiss Class Claims (“Motion”). Defendant Sage Mountain Senior Housing Partners LLP’s Joinder. (all defendants are collectively referred to herein as “Defendants”)

**Tentative Ruling:**

Defendant Sage Mountain Senior Housing Partners LLP’s Joinder is GRANTED.

Defendants’ Motion is GRANTED.

Plaintiff Jessica Hauge is ordered to submit her individual claims to binding arbitration; including her individual claims for PAGA, in accordance with the parties’ Arbitration Agreement. The class claims are dismissed. Plaintiff’s nonindividual PAGA claims, the representative PAGA action, are not dismissed but stayed. Those claims, and all further proceedings and discovery in this action, are STAYED pending completion of arbitration of Plaintiff’s individual claims.

**2025CUOE056163: JESSICA HAUGE vs SAGE MOUNTAIN SENIOR HOUSING  
PARTNERS LLC, A DELAWARE LIMITED LIABILITY COMPANY, et al.**

The Court sets a status conference re: Arbitration on **August 27, 2027 at 8:30 a.m.** The parties are ordered to file a joint report concerning case status 10 days prior to the status conference.

Defendants to give notice.

## **I. Background**

### **A. Factual Background**

Jessica Hauge (“Plaintiff”) filed a “PAGA Action Complaint” (“Complaint”) against Remarkable Caregivers RCSM LLC, Sage Mountain Senior Housing Partners, LLC, and Agemark Management LLC (“Defendants”) on December 15, 2025. Plaintiff’s five wage and hour class-action claims were added to a First Amended Complaint (“FAC”), filed on March 27, 2026. Plaintiff alleges that she was employed by Defendants. (FAC, ¶ 14.) Five subclasses are alleged. (FAC, ¶32.)

Defendants Remarkable Caregivers RCSM LLC and Agemark Management LLC (“Moving Party Defendants”) contend that on August 7, 2024, prior to beginning her employment, Plaintiff signed a valid and enforceable Arbitration Agreement (“Agreement”) with her employer Remarkable Caregivers RCSM LLC. (Graham Decl., ¶14, Exhibit A.) Plaintiff has been employed by Remarkable from August 13, 2024. (Graham Dec., ¶8).

The Agreement requires Plaintiff employee and Defendant Remarkable, including its affiliates and subsidiaries, to resolve covered disputes through final and binding arbitration before a single neutral arbitrator rather than through a court or jury trial. (Graham Decl., Exhibit A, introduction and ¶8.) Pursuant to an Employee Lease Agreement, Remarkable assigned its personnel, including Plaintiff, to a Defendant Sage Mountain Senior Housing Partners, LLC (“Joinder Defendant”) facility. (Graham Decl., ¶3). Defendants claim the right to enforce the Agreement. According to Defendants, the Agreement is a bilateral agreement expressly governed by the Federal Arbitration Act (“FAA”). (Exhibit 1, ¶4, “Terms of Arbitration” stating: “This Agreement shall be governed by the Federal Arbitration Act, 9 U.S.C. Section 1, *et seq.* (“FAA”).) Defendants concede that acceptance of the agreement was an explicit condition of Plaintiff’s employment.

Joinder Defendant argues that it is entitled to enforce the Agreement under section 8 addressing third-party beneficiaries, because it was a client of Moving-Party Defendant Remarkable Caregivers, RCSM LLC.

The Agreement’s coverage expressly includes claims concerning “wrongful termination; breach of any contract or covenant, express or implied; breach of any duty owed to Employee by Company or to Company by Employee; personal, physical or emotional injuries; fraud, misrepresentation, defamation, and any other tort claims; wages or other compensation due; penalties; benefits; reimbursement of expenses; discrimination or harassment (excluding sexual harassment or sexual assault claims); retaliation; and claims for violation of any federal, state, or other governmental law, common law, constitution, statute, regulation or ordinance....” The agreement excludes certain claims for workers’ compensation, disability, unemployment, sexual harassment or sexual assault, and it preserves the employee’s right to file charges with governmental agencies.

**2025CUOE056163: JESSICA HAUGE vs SAGE MOUNTAIN SENIOR HOUSING PARTNERS LLC, A DELAWARE LIMITED LIABILITY COMPANY, et al.**

The Agreement provides for arbitration before a single neutral arbitrator, to be mutually selected by the parties, and for a written decision with a statement of the findings and reasons for the arbitration award or other decision, to be provided within 30 days of the close of the hearing. Each party is given the right to conduct “meaningful discovery.” Arbitration is to be conducted under the Employment Arbitration Rules and Mediation Procedures of the American Arbitration Association (“AAA Rules”), which the Agreement states are available at [www.adr.org/Rules](http://www.adr.org/Rules). Defendants must pay the arbitrator’s fees and expenses “that are unique to arbitration,” with each party paying its own attorneys’ fees, witness and transcript fees, and other litigation expenses.

The Agreement prohibits class, collective or representative action. (Graham Decl., Exhibit A, ¶3.) That section of the Agreement, the “Class Action Waiver,” expressly includes a severability clause stating that “[i]f any portion of this waiver above is found to be void or unenforceable, in whole or in part, any portion of the waiver remaining valid will be enforced in arbitration.” In addition to section 3, section 9 of the Agreement is titled “Severability” and states that if any portion of the Agreement is found to be void or unenforceable, the remainder of the Agreement will “remain and in in full force and effect to the extent permitted by law.” (Graham Dec., Exhibit A, ¶¶3, 9.)

**B. Procedural Background**

On March 24, 2026, Defendants’ counsel sent Plaintiff’s counsel a copy of the Agreement and requested stipulation to arbitration, and dismissal of the class claims, but after discussion between the parties, including via email, Plaintiff did not agree. See declaration of Phuong N. Fingerman, ¶¶2-3, Exhibits A-B.

No trial date has yet been set in this case.

**II. Discussion**

**A. Motion to Compel Arbitration Legal Standard**

“A written agreement to submit to arbitration an existing controversy or a controversy thereafter arising is valid, enforceable and irrevocable, save upon such grounds as exist for the revocation of any contract.” (CCP § 1281.)

“On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate that controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: (a) The right to compel arbitration has been waived by the petitioner; or (b) Grounds exist for rescission of the agreement.” (CCP § 1281.2.)

**B. Defendant has Established the Existence of An Arbitration Agreement**

“[I]n ruling on a motion to compel arbitration, the court must first determine whether the parties actually agreed to arbitrate the dispute. [citations] General principles of California contract law guide the court in making this determination.” (*Mendez v. Mid-Wilshire Health Care Center* (2013) 220 Cal.App.4th 534, 541; *Ford Motor Warranty Cases* (2025) 17 Cal.5th 1122, 1128 [quoting *Mendez*].)”

**2025CUOE056163: JESSICA HAUGE vs SAGE MOUNTAIN SENIOR HOUSING PARTNERS LLC, A DELAWARE LIMITED LIABILITY COMPANY, et al.**

“The party seeking arbitration bears the burden of proving the existence of an arbitration agreement[.]” (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 236.) “A party’s acceptance of an agreement to arbitrate may be express, as where a party signs the agreement. A signed agreement is not necessary, however, and a party’s acceptance may be implied in fact[.]” (*Id.*)

“The party seeking arbitration can meet its initial burden by attaching to the petition a copy of the arbitration agreement purporting to bear the respondent’s signature.” (*Bannister v. Marinidence Opco, LLC* (2021) 64 Cal.App.5th 541, 543-544; see also Cal. Rules of Court, rule 3.1330.) “[E]lectronic and handwritten signatures have the same legal effect and are equally enforceable.” (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 168 [citing Civ. Code § 1633.7(a)-(b).]) “An electronic record or electronic signature is attributable to a person if it was the act of the person. The act of the person may be shown in any manner, including a showing of the efficacy of any security procedure applied to determine the person to which the electronic record or electronic signature was attributable.” (Civ. Code § 1633.9(a).) “The effect of an electronic record or electronic signature attributed to a person under subdivision (a) is determined from the context and surrounding circumstances at the time of its creation, execution, or adoption, including the parties’ agreement, if any, and otherwise as provided by law.” (Civ. Code § 1633.9(b).)

Defendants have met their burden of proving the existence of the Agreement and that Plaintiff agreed to it. Plaintiff’s objections are all overruled on the grounds asserted, for the reasons outlined in the Defendants’ response to the objections. The Graham declaration provides ample foundation for her knowledge of the business records at issue.

Defendant produced the Agreement and Graham explained the onboarding process, Defendant’s policies and practices, and has provided undisputed evidence authenticating Plaintiff’s electronic signature on the Agreement through a secure web-based portal. (Graham Decl., ¶¶ 1-15, Ex. A.) The electronic signature bears Plaintiff’s full name, as well as the date and time of its execution. ADP sends new-hires an email with instructions to register, login to the system, and complete the onboarding process, which includes signing the arbitration agreement. (Graham Decl, ¶9). Here, Plaintiff provided her personal gmail email address and received a unique registration code, and based on the Moving-Party Defendants business records, Plaintiff used that same email to enter the registration code and complete her onboarding, including signing the Agreement. (Graham Decl. ¶¶8, 10, 13-14.) There is no material dispute about authenticity of Plaintiff’s electronic signature.

These circumstances are sufficient to establish by a preponderance of the evidence that the electronic acknowledgment was Plaintiff’s act. (Civ. Code, § 1633.9; *Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060-1062.) Plaintiffs claim that she has “no recollection” of electronically signing the Agreement, does not establish that she did not do so, particularly in light of the evidence presented in the Graham declaration and her concession that she signed documents during her onboarding using the same ADP process.

The argument that the absence of a signature by Defendants bars enforcement fails. While it is undisputed that Defendants did not sign the Agreement, on its face the Agreement did not require their signature. The absence of an employer’s signature is not dispositive, particularly when it drafted the agreement and is moving to enforce it. See *Serafin v. Balco Properties Ltd., LLC*

**2025CUOE056163: JESSICA HAUGE vs SAGE MOUNTAIN SENIOR HOUSING PARTNERS LLC, A DELAWARE LIMITED LIABILITY COMPANY, et al.**

(2015) 235 Cal.App.4th 165; *Cruise v. Kroger Co.* (2015) 233 Cal.App.4th 390; *Fuentes v. Empire Nissan, Inc.* (2023) 90 Cal.App.5th 919. Defendant's intent to be bound by the Agreement is clear, including their drafting of the Agreement, the fact that it was presented to Plaintiff upon her hiring, and that there is no place for Defendant's signature. There is no good argument presented establishing any reason that Defendant's signature was required, and the language that "by signing this agreement, the parties hereby waive..." does not create an obligation to indicate its agreement by signing the document. Unlike *Banner Entertainment, Inc. v. Superior Court* (1988) 62 Cal.App.4th, is not clear from the Agreement that it would only be effective when signed by both parties. The language obligates Defendant to its terms without requiring a signature; there is nothing conditional in the Agreement tied to Defendant's signature.

Similarly, the attempted revocation and/or repudiation of her signature, nearly two years later, fails on grounds that the cited authority is inapplicable, the attempt is plainly unreasonable and, in any event, wildly untimely.

Defendants have established the existence of a valid mutual written agreement to arbitrate. As for Sage, Plaintiff does not lodge any objection to its claim that it is an intended third-party beneficiary under section 8 of the Agreement. Accordingly, the Agreement governs the claims against all of the Defendants.

**C. The Scope of the Agreement Encompasses the Claims Asserted in the FAC**

"The scope of arbitration is a matter of agreement between the parties[.]" (*Mendoza v. Trans Valley Transport* (2022) 75 Cal.App.5th 748, 763.) "The party opposing arbitration has the burden to show the arbitration provision cannot be interpreted to cover the claims in the complaint." (*Id.* at p. 764.) Plaintiff has the burden to show that the provision does not cover the claims alleged. (*Id.*) "[N]o dispute may be ordered to arbitration unless it is within the scope of the arbitration agreement." (*Titolo v. Cano* (2007) 157 Cal.App.4th 310, 317.) "In determining the scope of an arbitration clause, '[t]he court should attempt to give effect to the parties' intentions, in light of the usual and ordinary meaning of the contractual language and the circumstances under which the agreement was made [citation].'" (*Victoria v. Superior Court* (1985) 40 Cal.3d 734, 744 [internal quotation marks omitted].) "[T]he terms of the specific arbitration clause under consideration must reasonably cover the dispute as to which arbitration is requested." (*Bono v. David* (2007) 147 Cal.App.4th 1055, 1063.) "[T]he decision as to whether a contractual arbitration clause covers a particular dispute rests substantially on whether the clause in question is 'broad' or 'narrow.'" (*Id.* at p. 1067.) "A 'broad' clause includes those using language such as '*any claim arising from or related to this agreement*'." (*Id.*)

"It is well-settled under both state and federal law 'that absent the parties' commitment of the arbitrability decision to an arbitrator, disagreements over whether a particular dispute is within the scope of an arbitration provision are ordinarily the responsibility of a court.'" (*Mendoza v. Trans Valley Transport* (2022) 75 Cal.App.5th 748, 765 [quoting *Sandquist v. Lebo Automotive, Inc.* (2016) 1 Cal.5th 233, 249].)

The Agreement is written to encompass the asserted claims here. It covers any and all disputes, claims, and controversies arising out of Plaintiff's employment, including alleged violations of the California Labor Code. Thus, the disputes asserted in the FAC all fall within the scope of the Agreement.

#### **D. The FAA Applies**

The Agreement expressly provides for application of the Federal Arbitration Act. Plaintiff does not dispute this or claim that any exemption applies. Because the parties contractually agreed that the FAA would govern the Agreement, there is no need for the Court to inquire into whether the Plaintiff's work affected interstate commerce. An agreement that the FAA applies, without more, is sufficient to find that the FAA applies. (*Tuufuli v. West Coast Dental Administrative Services, LLC* (2026) 117 Cal.App.5th 1048, 1054, and cases cited therein.) The FAA applies.

#### **E. Plaintiff's Defenses to Arbitration: Unconscionability**

##### **1. Framework**

"Once an agreement to arbitrate has been proved, the burden shifts to the party opposing arbitration to establish a defense to the enforcement of the agreement, including the burden of demonstrating that the exemption [from arbitration] applies." (*Nixon v. AmeriHome Mortgage Co., LLC, supra*, 67 Cal.App.5th at p. 946 [internal quotation marks and citation omitted].)

"Unconscionability in a contract is one reason a court may decline enforcement." (*Lange v. Monster Energy Co.* (2020) 46 Cal.App.5th 436, 445.) "If the court as a matter of law finds the contract or any clause of the contract to have been unconscionable at the time it was made the court may refuse to enforce the contract, or it may enforce the remainder of the contract without the unconscionable clause, or it may so limit the application of any unconscionable clause as to avoid any unconscionable result." (Civ. Code § 1670.5(a); see also *Ramirez v. Charter Communications, Inc.* (2024) 16 Cal.5th 478, 505 "[A]n unconscionability assessment focuses on circumstances known at the time the agreement was made."].)

"The general principles of unconscionability are well established. A contract is unconscionable if one of the parties lacked a meaningful choice in deciding whether to agree and the contract contains terms that are unreasonably favorable to the other party." (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 125.)

"Unconscionability consists of both procedural and substantive elements. The procedural element addresses the circumstances of contract negotiation and formation, focusing on oppression or surprise due to unequal bargaining power." (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 246.) "Both procedural unconscionability and substantive unconscionability must be shown, but they need not be present in the same degree and are evaluated on a sliding scale." (*Id.* at p. 247 [quoting in part *Armendariz v. Foundation Health Psychare Services, Inc.* (2000) 24 Cal.4th at p. 83, 114 (internal quotation marks omitted)].) "In other words, the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa." (*Armendariz, supra*, at p. 114.)

"The party resisting arbitration bears the burden of proving unconscionability." (*Pinnacle Museum Tower, supra*, at p. 247.)

##### **2. Plaintiff Has Not Established Unconscionability**

**2025CUOE056163: JESSICA HAUGE vs SAGE MOUNTAIN SENIOR HOUSING PARTNERS LLC, A DELAWARE LIMITED LIABILITY COMPANY, et al.**

The parties do not dispute that the Agreement was drafted by Defendant, presented to Plaintiff prior to her first day of employment, and a required condition of employment on a standardized basis. That establishes some procedural unconscionability. The degree is limited, however. “By itself, however, adhesion establishes only a ‘low’ degree of procedural unconscionability.” (*Davis v. Kozak* (2020) 53 Cal.App.5th 897, 907.) Plaintiff would need to show “other sharp practices” on the part of Defendant “such as lying, manipulating, or placing [the party] under duress.” (*Ibid.*) “A showing of either oppression or surprise may render a contract procedurally unconscionable.” (*Fisher v. MoneyGram Intern., Inc.* (2021) 66 Cal.App.5th 1084, 1095.) Elements of oppression or surprise are not established here.

The Agreement is a separate document, consisting of only slightly more than two pages of clear text, and titled in all-capital and bold letters “ARBITRATION AGREEMENT.” Plaintiff’s signature on the Agreement acknowledges that she had “carefully read this Agreement, understands its terms, and has entered into this Agreement voluntarily....” Of particular note, the Agreement included a section, located just before the Plaintiff’s signature, which advised Plaintiff that if she had “any questions about this Agreement” to contact the Vice President of Human Resources Lisa Graham at her email address ([lgraham@agemark.com](mailto:lgraham@agemark.com)). Moreover, Plaintiff was explicitly informed that she may “wish to consult with an attorney regarding this Agreement.” Most importantly, the Agreement clearly provided Plaintiff with a 30-day period after signing the Agreement in which to opt-out of her agreement to arbitration by providing a written revocation to Defendant. The option to revoke agreement to arbitrate was not “buried” but placed directly above the signature block. Although the location where revocation was to be mailed is not specified in the Agreement itself, it is reasonable to presume that issue could be resolved by simply contacting the VP of HR mentioned above, via email or phone. Plaintiff does not claim that she ever made any attempt to opt-out or was confused by the process at the time she signed the Agreement.

Nor does Plaintiff claim that, at the time she read and agreed to the Agreement, that she feared retaliation if she were to have opted-out or that the burden of doing so was undue. The Agreement specifically provides: “Note to Employee: The original of this signed form will be filed in your personnel file.”

There is no evidence that there was oppression or surprise beyond the circumstances generally present when a new employee is completing onboarding documents. In total, there is only a minimal amount of procedural unconscionability established here as a result of the contract of adhesion.

Plaintiff has not shown substantive unconscionability. The obligation to arbitrate is mutual and applies to covered claims by either Plaintiff or the Company. The agreement provides for a neutral arbitrator, arbitration near Plaintiff’s last work location, document requests, interrogatories, fact and expert depositions, subpoenas, and additional discovery upon a showing of need. It authorizes dispositive motions, requires application of governing substantive law, permits all remedies available on an individual claim, and requires a written award explaining the factual and legal basis for the decision. Defendants must pay the arbitrator’s fees and all costs unique to arbitration, while Plaintiff cannot be charged more in initial fees than she would pay to file in court.

The Agreement contains an explicit class action waiver, but it is also expressly governed by the FAA. Because a state’s refusal to enforce a class action waiver on grounds of public policy or

**2025CUOE056163: JESSICA HAUGE vs SAGE MOUNTAIN SENIOR HOUSING PARTNERS LLC, A DELAWARE LIMITED LIABILITY COMPANY, et al.**

unconscionability is preempted by the FAA, see *Epic Systems Corporation v. Lewis* (2018) 584 U.S. 497, 502, the Class Waiver is enforceable. The class claims therefore, are dismissed.

Regarding Plaintiff's argument that the Agreement illegally waives PAGA claims on a wholesale basis, while "[c]lass action waivers are generally enforceable under the FAA. (*AT&T Mobility LLC v. Concepcion* (2011) 563 U.S. 333, 346; *Epic Systems Corp. v. Lewis* (2018) 584 U.S. 497, 502) "the same is not true of representative PAGA actions. As to those actions, 'a predispute categorical waiver of the right to bring a PAGA action is unenforceable.' " (*Stoker v. Blue Origin, LLC* (2026) 120 Cal.App.5th 91, 111 [quoting *Adolph v. Uber Technologies, Inc.* (2023) 14 Cal.5th 1104, 1117].) In *Stoker*, the Court of Appeal held that an arbitration provision's "purported waiver of the employee's right to bring 'representative' actions, including representative PAGA claims," was substantively unconscionable. (*Stoker, supra*, 120 Cal.App.5th at p. 112.)

The FAA preempts the "rule of *Iskanian* insofar as it precludes division of PAGA actions into individual and non-individual claims through an agreement to arbitrate." (*Viking River Cruises, Inc., v. Moriana* (2022) 596 U.S. 639, 662.) In *Viking River Cruises*, the arbitration agreement at issue "contained a 'Class Action Waiver' providing that in any arbitral proceeding, the parties could not bring any dispute as a class, collective, or representative PAGA action. It also contained a severability clause specifying that if the waiver was found invalid, any class, collective, representative, or PAGA action would presumptively be litigated in court. But under that severability clause, if any 'portion' of the waiver remained valid, it would be 'enforced in arbitration.' " (*Id.* at p. 647.) The Supreme Court expressly held that the employer could compel an employee to arbitrate the employee's individual claims. (*Id.* at p. 662.) But it also held that an agreement that contained a waiver of non-individual claims would be contrary to the FAA and therefore invalid. (*Ibid.*) Based on the severability clause, which allowed for the employee's individual PAGA claims to be arbitrated, the court held that the defendant could compel arbitration of the plaintiff's individual claims. (*Ibid.*) The Supreme Court also expressly held that *Iskanian*'s holding still applied if the waiver is construed as a wholesale waiver. (*Ibid.*)

The Agreement's Waiver section does not mention PAGA claims at all, and the Court finds that there is no wholesale waiver of PAGA claims. To the extent the Agreement can be read as an attempt to waive representative actions in this case, that would be unconscionable; however, because the Agreement contains severability clauses (in Paragraphs 3 and 9), the Court would find that provision severable in part. Plaintiff's individual PAGA claims must be arbitrated and that the representative PAGA claims are stayed.

"If the court as a matter of law finds the contract or any clause of the contract to have been unconscionable at the time it was made the court may refuse to enforce the contract, or it may enforce the remainder of the contract without the unconscionable clause, or it may so limit the application of any unconscionable clause as to avoid any unconscionable result." (Civ. Code, § 1670.5, subd. (a).) "[N]o bright line rule *requires* a court to refuse enforcement if a contract has more than one unconscionable term." (*Ramirez v. Charter Communications, Inc.* (2024) 16 Cal.5th 478, 516.) "[C]ourts may liberally sever any unconscionable portion of a contract and enforce the rest when: the illegality is collateral to the contract's main purpose; it is possible to cure the illegality by means of severance; *and* enforcing the balance of the contract would be in the interests of justice." (*Id.* at p. 517.)

The portion of the Agreement identified by Plaintiff as lacking mutuality, does not rise to the level of *Cook v. University of Southern California* (2024) 102 Cal.App.5th 312. The Agreement is a reciprocal agreement to arbitrate. The exclusion of TRO and/or preliminary injunctions from arbitration, see section 2, are facially mutual, do not necessarily favor one side over the other, and there is no provision regarding bond.

Enforcing the Arbitration Agreement will be consistent with the state and federal policies favoring arbitration, as well as in the interests of justice. The Agreement does not contain substantive unconscionability, and is certainly not permeated with it. The limited procedural unconscionability associated with an adhesive employment agreement, without any non-severed substantively unconscionable term, does not justify refusing enforcement of the Agreement.

#### **F. Stay of Non-Individual PAGA Claims**

“[W]here a plaintiff has filed a PAGA action comprised of individual and non-individual claims, an order compelling arbitration of individual claims does not strip the plaintiff of standing to litigate non-individual claims in court.” (*Adolph v. Uber Technologies, Inc.* (2023) 14 Cal.5th 1104, 1123.) “Nothing in PAGA or any other relevant statute suggests that arbitrating individual claims effects a severance. When a case includes arbitrable and nonarbitrable issues, the issues may be adjudicated in different forums while remaining part of the same action.” (*Id.* at p. 1124.)

“[C]ase law establishes that a stay of proceedings as to any inarbitrable claims is appropriate until arbitration of any arbitrable claims is concluded.” (*McGill v. Citibank, N.A.* (2017) 2 Cal.5th 945, 966.)

Under *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639, the portion of a PAGA action premised on Labor Code violations personally suffered by the plaintiff constitutes the plaintiff’s individual PAGA claim. The FAA permits the parties to divide that component from claims based on violations suffered by other employees and to require the individual component to proceed in arbitration. (*Id.* at pp. 661-663.)

*Balderas v. Fresh Start Harvesting, Inc.* (2024) 101 Cal.App.5th 533 does not require a different result. *Balderas* held that a plaintiff need not pursue a separate individual claim to possess standing to litigate representative PAGA claims. It did not hold that a court must disregard an enforceable arbitration agreement where the operative pleading affirmatively alleges that the plaintiff personally suffered the violations at issue and seeks PAGA penalties on behalf of herself as well as others. Nor does compelling arbitration of that component deprive Plaintiff of standing to litigate the remaining claims. (*Adolph v. Uber Technologies, Inc.* (2023) 14 Cal.5th 1104, 1121-1124.)

Unlike a complaint that expressly and exclusively pleads nonindividual PAGA claims, the operative complaint here alleges that Plaintiff personally suffered each category of Labor Code violation and seeks PAGA relief on behalf of herself and other aggrieved employees. The existence of an individual component therefore follows from the allegations actually pleaded, rather than from a categorical rule that every PAGA action necessarily includes an individual claim. Thus, regardless of how the Supreme Court ultimately resolves *Leeper*, the present complaint includes claims predicated on violations allegedly suffered by Plaintiff herself, and those claims fall within the provisions of the Agreement.

**2025CUOE056163: JESSICA HAUGE vs SAGE MOUNTAIN SENIOR HOUSING PARTNERS LLC, A DELAWARE LIMITED LIABILITY COMPANY, et al.**

Plaintiff's individual PAGA claims must be compelled to arbitration. Plaintiff retains standing under *Adolph* to litigate her nonindividual PAGA claims after her individual claims are sent to arbitration. Those claims are not dismissed.

A stay is appropriate, however. Whether Plaintiff personally suffered the alleged violations bears directly on her status as an aggrieved employee and may affect her ability to recover penalties based on violations suffered by other employees. Proceeding simultaneously in court would create a risk of inconsistent determinations and duplicate litigation concerning the same employment practices.

Accordingly, the nonindividual PAGA claims, and all discovery and other proceedings concerning those claims, are be stayed pending completion of the arbitration. (9 U.S.C. § 3; Code Civ. Proc., § 1281.4; *Adolph*, supra, 14 Cal.5th at pp. 1123-1124; *McGill v. Citibank, N.A.* (2017) 2 Cal.5th 945, 966.)

### **III. Disposition**

For the reasons stated herein, Defendants Agemark Management, LLC and Remarkable Caregivers RCSM LLC's Motion to Compel Arbitration and Dismiss Class Claims, and Defendant Sage Mountain Senior Housing Partners LLP's Joinder is GRANTED. Plaintiff Jessica Hauge is ordered to arbitrate her individual claims, including her individual PAGA claims. The class claims are dismissed. Plaintiff's nonindividual PAGA claims, the representative PAGA action, are not dismissed but stayed. Those claims, and all further proceedings and discovery in this action, are STAYED pending completion of arbitration of Plaintiff's individual claims.

The Court sets a status conference re: Arbitration on **August 27, 2027 at 8:30 a.m.** The parties are ordered to file a joint report concerning case status 10 days prior to the status conference.

Defendants to give notice.